Creating your Value Proposition

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Creating the Value Proposition for your Proposal

- Identify the important **need** that will be met with your proposed work
- Explain your **approach** to meeting this need
- Present the **benefits** (increased ROI, cost/benefit analysis) of meeting this need
- Identify the **competition**/alternative approaches – why is your project better?

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Innovations – how to "sell" them – the value proposition!

- Can you explain your **innovation** in 5 minutes?
- Include the **need**, the approach, the benefits and the competition/ alternatives?
- The automotive need is 50mpg?Zero emissions? Comfort and style?
- The approach is weight reduction by materials substitution? Improved engine technology?
- The benefits are increased market share, low environmental impact

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Value Proposition Definition

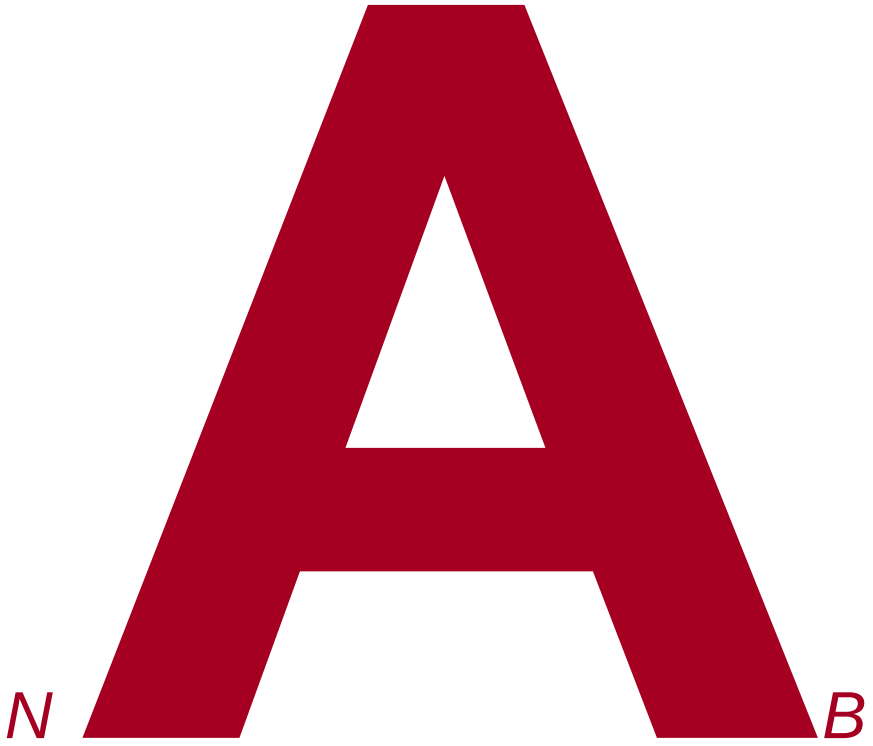
The four parts of your value proposition are the fundamentals: they must always be answered

- Your Value Proposition is***: a statement that includes your important customer and market:***
  - **Need** along with your new, compelling, and defensible
  - **Approach** to address that need with superior
  - **Benefits per costs** when compared to the
  - **Competition** and/or other **alternatives**
- Successful Value Propositions are quantitative and easy to understand and remember

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An All-Too-Typical First Draft

"*The world needs a little red wagon …*"



Focus on the Need!

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An Everyday Example

I understand that you are hungry (**N**eed). Let's go to the Campus Center (**A**pproach). It has great food, it's quiet, and we can continue our discussion (**B**enefits/costs) than at McDonald's (**C**ompetition/alternative).

- We naturally create Value Propositions in our everyday life
  - An SRI colleague even developed one for a marriage proposal
  - It worked!
- But when translated to the business environment, they are remarkably rare
- *Remember: only your **customer** defines your value*

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Improve Your Value Proposition, Be *Quantitative*

Qualitative statements are not persuasive

- Need
  - Not: The market is growing fast or infections are a problem
  - *Rather:* Our market segment is $2B/yr and growing at 20%/yr – every year XXXX people develop infections in the hospital
- Approach
  - Not: We have a clever design
  - *Rather:* We have created a patent-protected, one-step process that replaces the current two-step process with the same quality
- Benefits
  - Not: The ROI is excellent
  - *Rather:* Our one-step process reduces costs by 50% and results in an expected ROI of 50% per year with a profit of $30M in year 3
- Competition
  - Not: We are better than our competitors
  - *Rather:* Our competitors are Evergreen Corporation and Bigway, which use the current two-step process

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References

- Slides – with RDS additions – from Curt Carlson – CEO SRI

- Innovation by Curtis R. Carlson and William W. Wilmot, Crown Business, 2006.

- Work on the important problems!

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